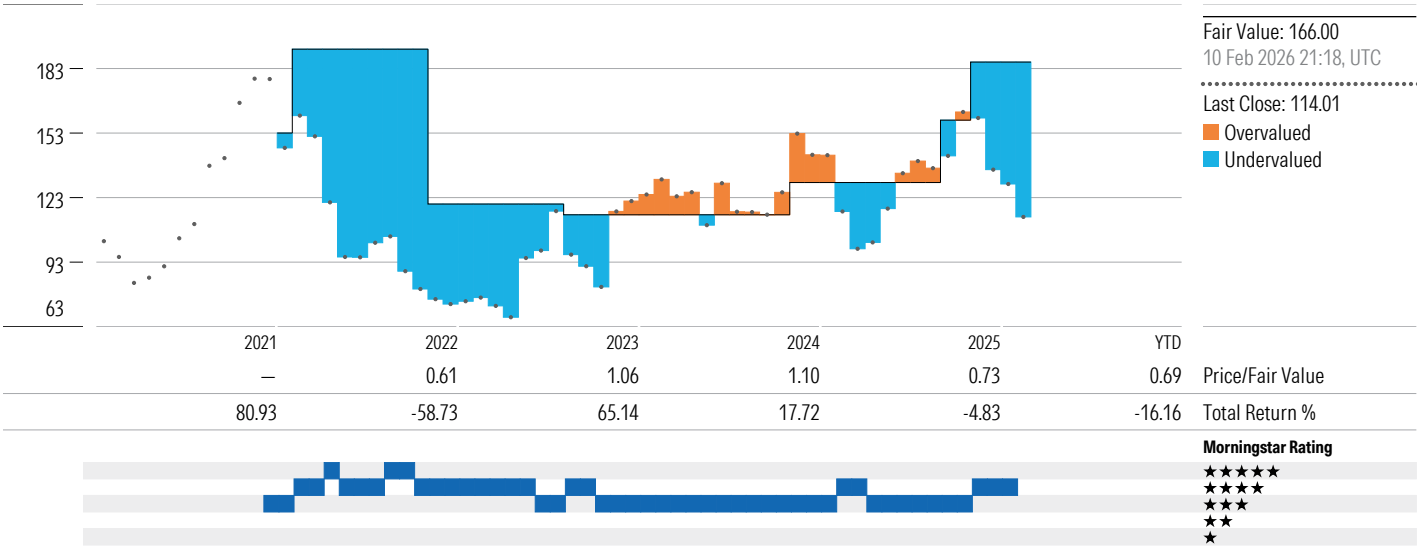
Datadog Inc Class A DDOG ★★★★ 10 Feb 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
114.01 USD 9 Feb 2026	166.00 USD 10 Feb 2026 21:18, UTC	0.69	45.47 USD Bil 10 Feb 2026	Wide	Mid Growth	High	Standard	7 Jan 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	—	0.61	1.06	1.10	0.73	0.69	Price/Fair Value
	80.93	-58.73	65.14	17.72	-4.83	-16.16	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 09 Feb 2026. Last Close as of 09 Feb 2026. Fair Value as of 10 Feb 2026 21:18, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Datadog Earnings: Outperformance Now, but Artificial Intelligence Uncertainty Is a Swing Factor

Analyst Note Mark Giarelli, Analyst, 10 Feb 2026

Datadog shares are rallying after fourth-quarter earnings beat management's forecasts on both the top and bottom lines. The firm reported positive updates on native and core customer adoption of artificial intelligence, but issued conservative guidance suggesting some margin compression.

Why it matters: Increased investor anxiety about AI disruption is creating attractive risk-reward opportunities in the widest-moat software names. We believe Datadog is in this selective camp, but we also acknowledge heightened uncertainty around the latest model enhancements.

- All quantifiable key performance indicators—core customer growth, revenue retention, revenue per customer, customer acquisition costs, lifetime value—are trending positively and point to resilience, but the pace of AI change makes KPI trends less reliable.
- Software investors need to ask hard questions, such as whether an offering creates a system of record or owns truly proprietary data. We believe Datadog does well on these issues relative to the software universe.

The bottom line: We are maintaining our wide moat rating and lowered our fair value estimate from $186 to $166. We lowered our five-year average annual growth rate from 23% to 21% and slightly reduced our longer-term growth and margin expectations.

- The reduction in expectations reflects potential volume discounts for AI-native customers and

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Sector Technology

Industry Software - Application

Business Description

Datadog is a cloud-native company that focuses on analyzing machine data. The firm's product portfolio, delivered via software as a service, enables clients to monitor and analyze their entire information technology infrastructure, from servers to applications and Python scripts. Datadog's platform can ingest and analyze large amounts of machine-generated data in real time, allowing clients to utilize it for a variety of applications throughout their businesses to ensure uptime and latency objectives.

increased risk as the cost of intelligence trends downward. Still, shares appear undervalued, and we believe observability solutions have upside due to the explosion of telemetry data in an agentic world.

- Underscoring resilience: 14 of the 20 largest AI-native companies use Datadog, and the company recently signed an eight-figure annualized deal with one of the largest model companies, which ultimately consolidated five tools into Datadog's unified offering.

Business Strategy & Outlook Mark Giarelli, Analyst, 10 Feb 2026

Datadog is a premier software-as-a-service observability platform. "Observability" refers to the ability to assess a system's current state using the data, or telemetry, it produces. Datadog's observability solution deploys agents that run correlations across an enterprise's technology platforms and then displays this telemetry in a single dashboard that surveys its entire technological infrastructure. Despite ongoing investor anxiety about how artificial intelligence will affect software models, we believe the observability industry has upside potential given the explosion of telemetry in an agentic world.

As companies increasingly adopt and build cloud and AI-based applications, their technological architecture and systems become more complex. There are more applications to manage, more servers in use, more data being generated, and more agents operating across the technology stack. Users, such as technology professionals or engineers, need access to telemetry to understand what's going on. Datadog's software creates a unified infrastructure that makes sense of complex enterprise technologies, thanks to its taxonomy—a consistent classification system—and its topology, or dependency-mapping system.

Datadog's main competitor in the observability market is Dynatrace, but the two companies have historically targeted different customer segments. Dynatrace focuses solely on the largest companies, while Datadog has over 30,000 customers, mostly small and midsize. Datadog intends to move upstream, but it needs to demonstrate that its time-to-resolution can match Dynatrace's to capture some customers. Datadog has also built a popular developer network with a quick feedback loop that enables product-led growth, which we find appealing.

We expect the total spending on cloud services, which include infrastructure-as-a-service and SaaS applications, to reach nearly $1.25 trillion by 2028 (a roughly 20% annual growth rate from 2024). In this growing and data-rich environment, customers will be attracted to software that enables efficiency and increases the reliability of services, which is exactly what Datadog does.

Bulls Say Mark Giarelli, Analyst, 10 Feb 2026

- Increasingly complex technological infrastructures, cloud migration, and more third-party applications increase demand for observability platforms like Datadog's that make sense of telemetry data.
- Datadog's cloud-neutral approach and unified taxonomy and topology reduce cloud vendor lock-in,

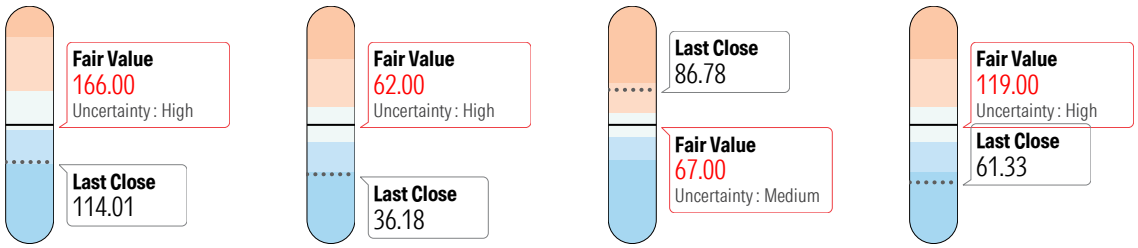
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Competitors



	Datadog Inc Class A DDOG	Dynatrace Inc Ordinary Shares DT	Cisco Systems Inc CSCO	Elastic NV ESTC
Economic Moat	Wide	Narrow	Wide	Narrow
Currency	USD	USD	USD	USD
Fair Value	166.00 10 Feb 2026 21:18, UTC	62.00 5 Nov 2025 19:55, UTC	67.00 13 Nov 2025 02:42, UTC	119.00 21 Nov 2025 16:08, UTC
1-Star Price	257.30	96.10	90.45	184.45
5-Star Price	99.60	37.20	46.90	71.40
Assessment	Undervalued 9 Feb 2026	Undervalued 9 Feb 2026	Overvalued 9 Feb 2026	Undervalued 9 Feb 2026
Morningstar Rating	★★★★10 Feb 2026 21:22, UTC	★★★★★9 Feb 2026 23:06, UTC	★★9 Feb 2026 22:37, UTC	★★★★★9 Feb 2026 23:01, UTC
Analyst	Mark Giarelli, Analyst	Mark Giarelli, Analyst	William Kerwin, Senior Equity Analyst	Mark Giarelli, Analyst
Capital Allocation	Standard	Standard	Exemplary	Standard
Price/Fair Value	0.69	0.58	1.30	0.52
Price/Sales	12.85	5.71	6.01	4.02
Price/Book	11.62	3.94	7.29	7.28
Price/Earning	364.04	60.30	33.43	—
Dividend Yield	0.00%	0.00%	1.89%	0.00%
Market Cap	45.47 Bil	10.98 Bil	340.94 Bil	6.68 Bil
52-Week Range	81.63—201.69	32.83—63.00	52.11—88.19	56.70—118.84
Investment Style	Mid Growth	Small Growth	Large Value	Small Growth

making it an attractive value proposition to the majority of firms that prefer multicloud services.

- Datadog's telemetry orchestration creates a unified environment that allows AI agents to operate freely within an organization. We expect the enablement of AI agents to be a major revenue driver.

Bears Say Mark Giarelli, Analyst, 10 Feb 2026

- Competition in observability is fierce, forcing Datadog to invest heavily in research and development to be ahead of the curve on new features and integrations.
- Datadog's attempts to move upstream and win over large customers involve significantly more investment in sales and marketing. Success is not guaranteed when competing more directly against Dynatrace.
- Datadog's consumption-based pricing model can occasionally surprise customers with large bills if the customer is not paying attention to usage metrics.

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Economic Moat Mark Giarelli, Analyst, 21 Sep 2025

We assign Datadog a Morningstar Economic Moat Rating of wide, primarily based on switching costs and network effects.

Both Datadog and its main observability competitor, Dynatrace, are typical asset-light software firms. They didn't need to invest a lot of money, and they sell popular products now that everyone uses so much data. As a result, both companies have generated more revenue than they have spent in the past few years. While their go-to-market strategies differ—R&D is the largest expense for Datadog, whereas sales and marketing are for Dynatrace—we capitalize these expenses for both firms for comparability. Both companies have kept overall invested capital in check while delivering products that efficiently manage the increasing complexity of technological infrastructures.

The main reason Datadog and Dynatrace consistently achieve high returns on invested capital is the strong switching costs tied to their core software products. With the rise of cloud-based applications and the vast amounts of data generated by these services, switching observability platforms becomes a formidable challenge. Whether it is an in-house or third-party application, businesses run on applications, which compose the technological stack of an enterprise. If anything goes wrong anywhere in this stack and companies lack visibility into what's happening, the business can lose millions of dollars in seconds or minutes. Switching costs stem from significant time investments to deploy these solutions. Switching to a new platform can be disruptive and expensive because customers need to reconfigure, relearn, and redeploy various observability solutions. The switching costs also come from high customer risk aversion, high cost of failure, and the mission-critical nature of the systems supported by the observability platforms. These switching costs prevent customers from switching easily, keeping them loyal rather than chasing cheaper options.

To better understand the root causes of switching costs for Datadog and the observability industry more broadly, large e-commerce firms provide a good example. Managing thousands of sales on its website, these firms must track how a customer moves from browsing to checkout, then to payment processing. Each stage generates unique telemetry (logs, metrics, traces) that must be analyzed, correlated across various services, and displayed clearly so users can see the four golden signals: latency (how long requests take), traffic (system load), errors (failure rate), and saturation (resource limits). If any of these signals fail and go unaddressed, errors in customer requests can accumulate, risking unhappy customers and lost sales. This mission-critical aspect of monitoring and its link to revenue is what observability platforms address, which in turn increases the cost to switch from a proven vendor.

Tailored dashboards that display key performance indicators are often specific to each business, so there isn't necessarily a universal dashboard that would automatically support "rip and replace" with a rival vendor. Uber and DoorDash might want to emphasize average wait times per location or the

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percentage of rides canceled due to wait times. A retail company might focus on cart abandonment rates and how they relate to high site saturation. Ultimately, different customers have varying observability needs, and Datadog supports extensive customization, which increases the time and resources invested in the platform, thereby boosting sunk costs and stickiness.

Datadog's rapid response to diverse developer requests speaks to the strong bottom-up sales approach that we believe enhances stickiness as well. At Datadog's most recent annual developer conference, it announced more than 125 new products and features, showcasing its ability to ship customer-requested enhancements rapidly and increase dependence on its software.

Gross and net revenue retention allow us to quantify switching costs and find differences among firms. Datadog consistently appears in the top quartile on gross retention, while Dynatrace slightly outperforms the median software company. For context, when isolating wide-moat companies in the application software universe, the average gross retention is 94%, while Datadog comes in at 97% and Dynatrace squeaks past the average at 95%. These high GRRs indicate that Datadog and Dynatrace customers rarely leave or reduce their spending, suggesting that switching is a painful process.

Analyzing net revenue retention offers a slightly different perspective on switching costs, including upsells (charging more), cross-sells, and seat expansion. If a software product has switching costs, it should be able to increase its charges over time as the customer becomes more dependent. Additionally, net revenue retention can act as a proxy for latent network effects, as it measures expansion and adoption within the product-led growth model. This PLG model is a crucial part of a positive feedback loop, where more customers generate more data, informing product development and attracting even more customers. Both Datadog and Dynatrace perform especially well in this area compared with other software companies. Still, Datadog's ability to cross-sell observability features and foster grassroots adoption across IT departments allows it to keep an NRR above the 90th percentile within the entire Morningstar software coverage list. In contrast, Dynatrace's top-down sales-led growth has less virality and grassroots adoption, which results in an NRR only slightly above the median. We believe that Datadog's network effect and positive feedback loop are tenable because developer customers have a self-preservation bias, and Datadog's flexible and detailed customizations boost developer agency, enabling developers to shine when an alert is triggered. This contrasts with Dynatrace's automation-focused approach, which can sometimes feel like a demotion for developers. Datadog's product-led growth, infiltration from the ground up, and cult-like adherence convince us that a wide moat is the right call here.

The lower half of Datadog's 30,000 customers contribute only 1%-2% of total revenue. However, combined with the company's tendency to invest heavily in R&D, this long tail of smaller customers provides valuable insights into diverse workloads that shape Datadog's product roadmap. The land-and-expand and SMB-focused model offers a different perspective because smaller clients often

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experiment with new technology before larger enterprises do. Datadog can analyze usage patterns and requested integrations while also identifying what drives positive observability outcomes versus what doesn't. This is an example of indirect network effects, as Datadog can utilize customer feedback to enhance its offerings. More customers with diverse use cases lead to more feedback and data, which in turn creates a better product roadmap for Datadog, ultimately fostering stronger customer entrenchment.

When a large company requests an observability feature or integration, Datadog is often already familiar with the request, aware of potential technical challenges, and prepared with a solution. This happened with Amazon's initial launch of AWS Lambda, its serverless product offering, a decade ago. Early adopters were smaller businesses that didn't want to spend time and money managing servers for small pieces of code that only needed to scale during high demand. This AWS innovation created new observability challenges because applications became dominated by short-lived processes and fragmented, high-volume telemetry. Traditional observability solutions couldn't monitor processes that only lasted 200 milliseconds. Recognizing this shift, Datadog developed serverless monitoring in 2017—well before other observability platforms, including AWS. When larger enterprises eventually adopted serverless solutions, Datadog benefited disproportionately.

Regarding competitor Dynatrace, we remain impressed with its depth-first and automated approach to observability, which enables success in the largest and most complex enterprise environments. While Datadog excels in product breadth and rapid innovation, Dynatrace goes beyond dashboards and integrations to offer a top-tier, causal, predictive, and generative observability product that appeals to Fortune 500 executives. Despite its impressive capabilities, we do not view Dynatrace as a major threat to Datadog, given Datadog's grassroots familiarity and popularity within the developer community. Developers see Datadog as a platform that fosters customization and supports autonomy, while Dynatrace's automation-focused approach, though attractive to C-suite executives, can be disempowering for developers. Essentially, Dynatrace isn't trying to be Datadog 2.0, and Datadog isn't trying to be Dynatrace—they both have products that suit their target markets.

AWS, Microsoft Azure, and Google Cloud are significant threats in the software world. They could cut out the need for specialized software and take over the market. However, we believe observability buyers naturally gravitate toward neutral, nonbiased platforms that operate seamlessly across clouds and markets. The large tech firms tend to act as walled gardens that optimize for their own ecosystems and aim to lock customers in. AWS, Microsoft, and Google all offer some version of an observability tool. Still, these are designed around the parent company's taxonomy—its naming and language conventions—and topology, or dependency map. Using AWS' observability tool to ingest, query, or display telemetry from an application running on Microsoft Azure would run into a complex mapping of filters, alert adjustments, and data indexing rules to make sense of the telemetry in one cloud and display it in another. The large firms are unlikely to dedicate resources to fixing this cross-cloud

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problem because they make more money by keeping customers locked into their environments. Firms like Datadog and Dynatrace build unified, cloud-agnostic observability platforms that effectively handle complex technology infrastructures.

Fair Value and Profit Drivers Mark Giarelli, Analyst, 10 Feb 2026

Our $166 fair value estimate implies an enterprise value of 13 times our fiscal 2026 sales estimate. The main drivers of Datadog's revenue are the enterprise cloud migration movement, the adoption and development of applications, increasing complexity of technological infrastructures, growth in unstructured data, enterprise demand for efficiency-enhancing software, and Datadog's ability to penetrate these markets and continually develop high-value products.

To develop our revenue forecasts, we estimate Datadog's penetration of the IT market by compiling and analyzing various market size estimates. We also analyze the growth trajectory of data generation and the role that telemetry will play within an influx of AI workflows. We then create a baseline projection based on the attractiveness of Datadog's core offerings. This results in an average annual growth rate of roughly 21% over five years, decreasing to 13% by 2035.

Our sizing estimate for the IT operations market is approximately $65 billion in 2025, and we expect an average annual growth rate of approximately 10%, resulting in $80 billion by 2028. We anticipate that as IT workflows mature, this growth rate will slow to 9% beyond 2029, eventually reaching a $130 billion market by 2034. When the IT operations market was about $35 billion in 2020, Datadog had only a 2% penetration. However, due to effective execution, strong product-led growth, and rising adoption of cloud workflows, Datadog has grown faster than the overall market. We currently estimate its penetration at roughly 7%, and we believe that switching costs and network effects will help Datadog continue capturing market share, ultimately reaching an 12% penetration of the $130 billion market by 2034.

Cost of revenue, R&D, and sales and marketing are the largest expenses, primarily consisting of salaries. Cost of revenue also includes third-party cloud hosting costs. Cost of revenue has decreased from 25% of revenue in 2019 to 20% in fiscal-year 2025, and we project it will decrease to 19% by 2034, thanks to better volume discounts from hyperscaler cloud providers and internal efforts to optimize data compression. This amounts to a gross margin of 81% by 2034—placing Datadog near the 80th percentile of 241 software companies since 2015. R&D as a percentage of revenue has remained consistently around the mid-40% range since 2022. Although we expect R&D spending to increase in dollar terms, the fixed salary component should begin to scale well as the company adds more customers, leading us to estimate R&D at 33% of revenue by 2034.

Risk and Uncertainty Mark Giarelli, Analyst, 10 Feb 2026

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We assign Datadog a High Morningstar Uncertainty Rating.

As with any company competing with major tech firms, the risk of disintermediation is present, given the resource advantages these firms hold. Still, we believe customers prefer the cloud-neutral flexibility and unified topology and taxonomy that Datadog provides, which help reduce some of the inherent uncertainty associated with its smaller stature.

Another risk to the business is Datadog's attempt to move upstream to larger enterprises, an area that its chief competitors, Dynatrace and Splunk, already dominate. We view Dynatrace's platform as the most sophisticated because it is more hands-off and requires less customization, which can be appealing to C-suite executives at the largest enterprises with the most complex technology stacks. As such, Datadog's ability to penetrate the largest customers is ambiguous and risks overinvestment in sales and marketing, an area that Datadog has traditionally been able to save on because of its quick customer feedback loop and product-led growth strategy.

Some ESG concerns pertain to data breach risks. In 2016, Datadog experienced a security breach in which AWS login credentials were leaked, granting attackers unauthorized access to certain private-server processes and storage devices. Datadog mitigated the breach immediately by quarantining compromised systems, notifying customers, and recommending password changes, but a breach of any length has the potential to dent customer trust. Since then, there has not been a publicly disclosed breach of concern.

Capital Allocation Mark Giarelli, Analyst, 10 Feb 2026

We assign Datadog a Morningstar Capital Allocation Rating of Standard, due to its sound balance-sheet management, strong investment strategy, and mixed shareholder distributions.

Datadog experiences moderate revenue cyclicality due to its exposure to government and enterprise IT spending cycles, which are influenced by the broader economic climate. During an economic downturn, an enterprise customer may reduce telemetry retention and service-level objectives; however, we believe the mission-critical nature of observability solutions somewhat mitigates this and provides resilience. We estimate that about 60%-80% of the cost structure is relatively fixed (salaries) in the short term, which leads to classic software-as-a-service leverage where operating margins grow disproportionately with revenue growth and shrink disproportionately when revenue declines. Variable components of the cost structure are primarily cloud infrastructure costs that scale with the intensity of computational and data storage requirements. We believe that the elasticity of scale provided by hyperscalers is more efficient than the alternative of Datadog buying and racking its own servers. Overall, Datadog has a relatively fixed cost structure, which works well for the business as it scales.

Datadog has used convertible notes in the past to access lower yields, yet we note the potential for equity dilution with these debt structures, which Datadog at least partially attempts to offset with the purchase of call options on its stock. The current debt structure has approximately $1 billion worth of

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MORNINGSTAR®

Datadog Inc Class A DDOG ★★★★ 10 Feb 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
114.01 USD 9 Feb 2026	166.00 USD 10 Feb 2026 21:18, UTC	0.69	45.47 USD Bil 10 Feb 2026	Wide	Mid Growth	High	Standard	7 Jan 2026 06:00, UTC

2029 maturity, 0% coupon, convertible senior notes, paired with call options that offset dilution up to $322 per share. Considering the substantial cash balance it holds, ongoing cash generation, and improving profitability, we do not foresee any issues in meeting its debt obligations. Even with some revenue cyclicality and high operating leverage, our low debt levels indicate that balance-sheet risk is minimal.

We believe Datadog has implemented a strong investment strategy that makes sense given the competitive landscape and the need to innovate through research and development to maintain a robust customer network. Datadog's investments are primarily organic, as R&D has grown to more than $1 billion per year, or roughly 45% of revenue, which is especially high, even in the technology industry. A key aspect of these investments is the ongoing rollout of high-value products to its large customer base. While we might typically view this high level of R&D spending with suspicion, considering Datadog's position in the competitive landscape, we believe this strategy has created a network effect. As more customers generate more data, the product feedback cycle speeds up, enabling Datadog to learn and develop new products more quickly as demand increases.

One of the more recent R&D investments is the training of Toto, a time-series foundational model designed for forecasting observability data. It has been trained on roughly 1 trillion time series data points that come from Datadog's internal and anonymized telemetry. We believe Toto will be incorporated throughout Datadog's core products and will help close the gap with Dynatrace's Davis AI, by increasing the speed of root cause analysis and reducing customer downtime.

Datadog's acquisitions are generally small relative to the company's market cap. They tend to focus on "acqui-hires" that add new features to the Datadog platform, rather than large, splashy mergers and acquisitions. We appreciate this approach and note that it has been effective for the company so far. Overall, in our view, this combination of inorganic and organic investments creates substantial economic value.

Datadog has never declared a dividend, nor does it plan to in the foreseeable future, and it has never conducted a significant share repurchase plan. In the future, with projected top-line growth and growing cash balances, we would like to see more attempts to return cash to shareholders.

Analyst Notes Archive

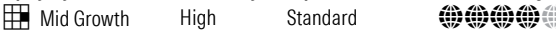
Datadog Earnings: Massive Beat, Artificial Intelligence Runway Warrant Fair Value Estimate Increase Mark Giarelli,Analyst,6 Nov 2025

Datadog shares are rallying after third-quarter earnings beat management's forecast for revenue and EBIT. The firm gave positive updates on remaining performance obligations, or RPOs, customer counts, product adoption, and the impact of artificial intelligence.Why it matters: Datadog produced one of the strongest quarters we've seen from an observability platform. Given the mission-critical nature of its

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offering amid the increasing complexity of adopting artificial intelligence workflows, we anticipate further outperformance. With 41% average annual revenue growth over the past three years (90th percentile among peers), Datadog is diversifying across both traditional cloud monitoring users and AI-natives, which now make up approximately 12% of total revenue. Both customer bases are growing. RPO growth, a leading indicator for revenue growth and stability, is in the 99th percentile in our software universe. We believe Datadog's telemetry correlation models are learning from the rapid growth of its customer base, informing an agile product roadmap that anticipates customer needs. The bottom line: We recently upgraded Datadog from a narrow to a wide moat, and the signals are all trending positively – increasing our confidence in the firm's competitive position. We increase our fair value estimate to $186 from $159 on an improved revenue outlook. Shares appear fairly valued. The increasing speed at which customers adopt products in the Datadog portfolio highlights the substantial impact of both switching costs and indirect network effects. Datadog is easy to set up, and once implemented, adoption spreads quickly across client firms. Underscoring innovation, new technologies like Bits AI agents are being trained on Datadog's new time series telemetry model to identify anomalies in live telemetry – increasing competition to Dyantrace's Davis AI and extending the runway to Fortune 500 penetration.

Datadog and Dynatrace: Observability Leaders Are Undervalued and Moatworthy Mark Giarelli,Analyst,21 Sep 2025

We are transferring coverage of software observability platforms, Datadog and Dynatrace. Both have grown rapidly as enterprises have shifted from on-premises servers to cloud-based workflows and have benefited from the increasing complexity of enterprise technological infrastructures. The bottom line: We upgrade Datadog from narrow to wide moat and maintain a narrow moat for Dynatrace based on switching costs. Datadog also has a network effect supporting product-led growth. Our fair value estimate for Datadog increased from $130 to $159, while we decreased Dynatrace's from $65 to $64. Both companies develop observability software that simplifies modern enterprise tech stacks, but they serve different markets. Dynatrace targets companies with annual revenue greater than $1 billion, while Datadog's primary market is small and midsize businesses. Datadog's large SMB base creates a positive feedback loop where more data on developer pain points fuels PLG, which then attracts more customers. The loop persists due to behavioral biases for self-preservation among developers and the tendency of SMBs to experiment with nascent tech. Big picture: We expect cloud migration to continue as companies adopt and develop more applications and artificial intelligence workflows, which should increase demand for visibility. Significant time investment in customization, the high cost of system failure, and the mission-critical nature of tech stack health reinforce switching costs in both companies. Datadog's large customer base has facilitated a rapid product feedback loop, enabling it to continually learn and improve. While the debate as to whether large language models are friend or foe to software rages on, we believe both companies can capitalize on increasing AI workflows by managing their

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telemetry outputs.

Datadog Earnings: AI-Driven Tailwinds Continue to Unleash Strong Top-Line Growth Malik Ahmed Khan, CFA,Senior Equity Analyst,7 Aug 2025

Datadog reported stellar second-quarter results, with sales growing 28% to $827 million. With the firm's increased investments to capture AI-driven spending, expenses grew even faster, leading to a 460-basis-point adjusted margin compression. Why it matters: As AI-driven increases in cloud spending continue to ramp, there is a knock-on effect with spending on Datadog's observability platform also expanding. This increased spending gets quickly captured in Datadog's topline due to its consumption-based pricing model. As evidence of this ramp-up in spending by Generative AI, or Gen AI, native customers, their contribution to the firm's annual recurring revenue, or ARR, grew to 11%, up from 8% last quarter and 4% a year ago. Along with AI-driven spending, vendor consolidation also continues to be a tailwind for Datadog. Customers using four, six, and eight or more Datadog products grew to 52%, 29%, and 14%, up from 49%, 25%, and 11% from a year ago, respectively. The bottom line: We maintain our $130 fair value estimate for narrow-moat Datadog, with its strong top-line performance offset mainly by the increases in operating expenses as the firm continues to invest in both research and sales. With shares trading down slightly after the earnings report, we continue to view them as fairly valued. For investors looking for a moaty play within the observability space, we'd recommend narrow-moat Dynatrace, which trades at a discount to our $65 fair value estimate. We liked management's commentary around expected gross margin improvements in the second half due to the firm optimizing its own cloud usage. We hope these efficiencies will insulate Datadog's margins from some of the impact of continued investments in its core platform.

Datadog Earnings: AI Contribution Continues to Grow as Firm's Execution Remains Stellar Malik Ahmed Khan, CFA,Senior Equity Analyst,6 May 2025

Datadog reported solid first-quarter financial results that included sales of $762 million, up 25% year over year. The firm also raised its fiscal 2025 sales outlook following a strong start to the year. Why it matters: With its consumption-based model, Datadog is often viewed as a bellwether for enterprise IT spending. With an uncertain macro outlook, we were impressed by the firm's ability to not only execute well in the first quarter but also provide a strong outlook for the rest of 2025. Datadog's results continue to be buoyed by the firm's upmarket penetration in enterprise accounts, now constituting 88% of the firm's annual recurring revenue, or ARR, and its ability to sell its existing customers more modules, with 51% using four or more modules, up from 47% a year ago. This deeper penetration into larger accounts is further helped by Datadog's continued product innovation and investments in upcoming technologies like artificial intelligence. ARR from AI-native customers grew to 8.5% of the overall ARR, up from 6% last quarter and 3.5% a year ago. The bottom line: We maintain our $130 fair value estimate for narrow-moat Datadog. We believe investors continue to underestimate Datadog's long-term sales growth

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endurance, with the firm's more nascent products growing nicely to provide uplift to its overall top line. Two products worth highlighting are FlexLogs, a logs storage and analysis tool, and database monitoring. Both of these products combined constitute around $100 million in ARR, growing at a materially higher rate than the firm's total sales. On the profitability front, Datadog's continued investments in research and sales led to a contraction in adjusted margins to 22%, down from 24% last quarter. We view these investments as sound, considering the large top-line and long-term profitability opportunity ahead of the firm.

Datadog Earnings: Growing AI Sales Contribution and Enterprise Penetration Mark a Strong 2024

Malik Ahmed Khan, CFA,Senior Equity Analyst,13 Feb 2025

Datadog reported solid fourth-quarter financial results, with sales growing 25% year over year and adjusted earnings per share expanding 11% to $0.49. For fiscal 2025, management expects sales growth of 19% and adjusted EPS of $1.70.Why it matters: Datadog's impressive sales expansion is aided by secular tailwinds behind the observability space in which the firm operates. As organizations continue to digitize their operations, with artificial intelligence adoption a catalyst, the need to monitor workloads is only set to grow. Financial results were bolstered by Datadog's continued penetration upmarket in enterprise accounts, with customers spending more than $100,000 and $1 million annually growing 13% and 17%, respectively. With 26% of its customers using six or more of its modules, up from 22% last year, we believe Datadog can entrench itself further in its clients' IT ecosystems, thereby pushing churn down.The bottom line: We maintain our $130 fair value estimate for narrow-moat Datadog. We believe investors were slightly underwhelmed by the firm's 2025 guidance, leading to a selloff in shares in Feb. 13 intraday trading. After accounting for the selloff, we view the shares as fairly valued. We believe that as firms leverage cloud AI workloads, demand for observability solutions that monitor these workloads should tick up. We saw evidence of this in the quarter, with Datadog's AI-native customers' spending on its platform more than doubling year over year. AI-native customers contributed 6% of the firm's annual recurring revenue, up from 3% last year. As AI adoption continues to inflect upward, we expect AI-native customer spending to grow materially as a percentage of total ARR in coming years.Coming up: We see the firm's 2025 sales guidance as overly conservative and model healthy upside to management's outlook. We note that Datadog's 2024 sales guidance at the end of 2023 was for growth of 21%, while 2024's actual growth came in at 26%.

Datadog Earnings: Plenty of Bite, Datadog Continues to Execute in the Enterprise Space Malik Ahmed Khan, CFA,Senior Equity Analyst,7 Nov 2024

Datadog reported strong third-quarter financial results with the firm's sales growing 26% year over year and adjusted margins expanding 120 basis points to 25.1%. For the upcoming fourth quarter, management expect sales growth of 11% and adjusted operating margins of 23%. Why it matters: With its consumption-based pricing model, Datadog is often a leading indicator for slowdowns/upticks in

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customer demand for observability and security solutions. With the firm's sales accelerating sequentially, we see Datadog as well positioned for 2025. Datadog's continued march upmarket remains a material contributor to the firm's top line. Large customers, defined as those spending in excess of $100,000 on Datadog, increased 12% year over year to 3,490. At the same time, the firm's upselling momentum also remained solid as it continued to expand usage from existing clients. As of the third quarter, 26% and 12% of Datadog customers now use at least six and eight Datadog modules, up from 21% and 8% a year ago. The bottom line: We are raising our fair value estimate for narrow-moat Datadog to $130 from $115 as we factor in the strong quarterly results as well as a raised outlook for artificial intelligence-related sales growth. We believe that as firms leverage cloud-AI workloads, demand for observability solutions that monitor these workloads should tick up. We saw evidence of this in the quarter with Datadog's AI-native customers' spend on its platform growing 60% sequentially. On profitability, Datadog continued to demonstrate the operating leverage built into its software model, with adjusted margins expanding to 25.1%. Over the next five years, we model Datadog's adjusted margins expanding to 30% as the firm tones down some of its research and sales spending. Bulls say: The firm's AI customers contributed 6% to its overall annual recurring revenue, or ARR, up from 4% last quarter. We estimate that the firm's ARR from AI-native customers more than tripled year over year.

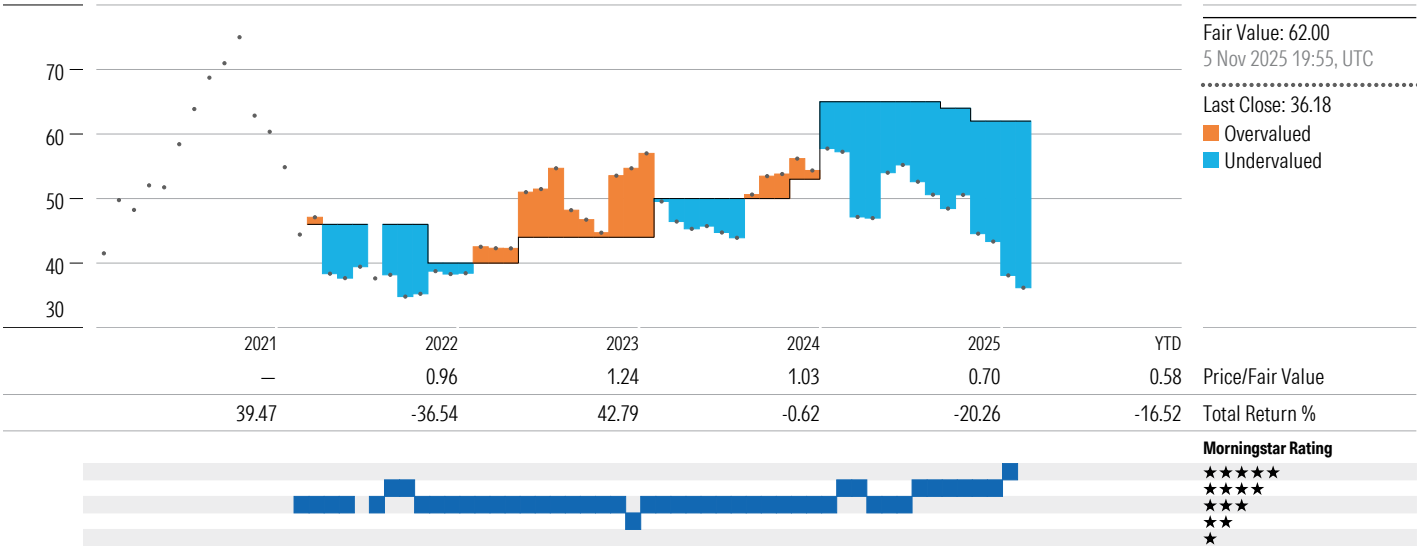
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Competitors Price vs. Fair Value

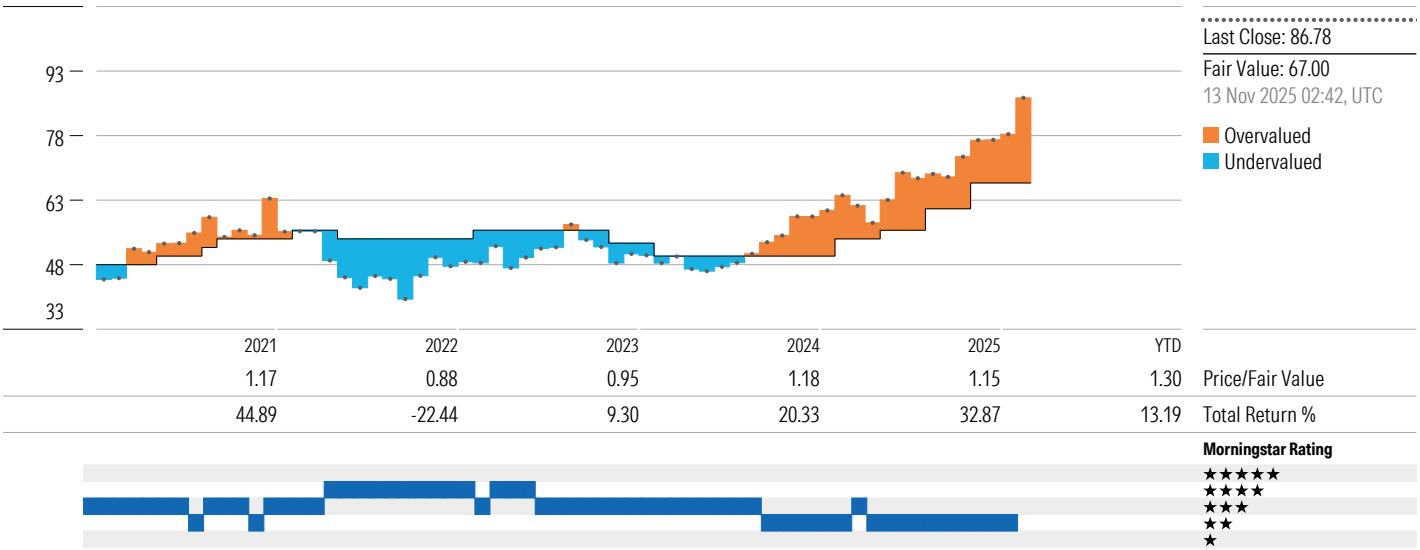
Dynatrace Inc Ordinary Shares DT



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	—	0.96	1.24	1.03	0.70	0.58
Total Return %	39.47	-36.54	42.79	-0.62	-20.26	-16.52

Total Return % as of 09 Feb 2026. Last Close as of 09 Feb 2026. Fair Value as of 5 Nov 2025 19:55, UTC.

Cisco Systems Inc CSCO



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.17	0.88	0.95	1.18	1.15	1.30
Total Return %	44.89	-22.44	9.30	20.33	32.87	13.19

Total Return % as of 09 Feb 2026. Last Close as of 09 Feb 2026. Fair Value as of 13 Nov 2025 02:42, UTC.

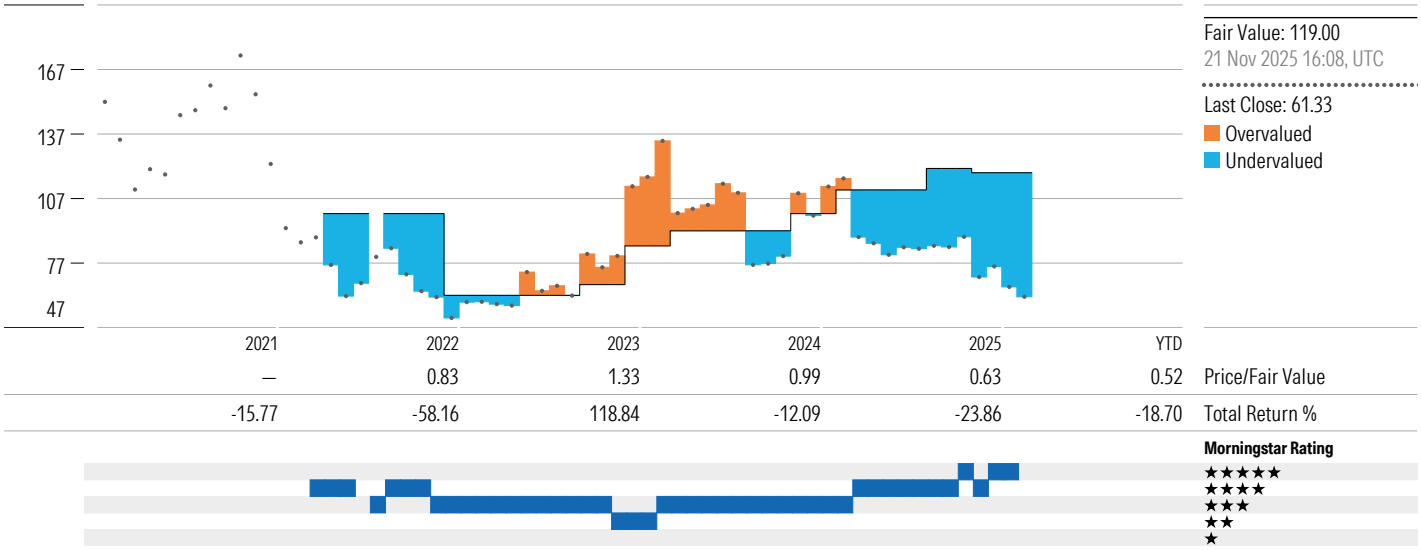
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Competitors Price vs. Fair Value

Elastic NV ESTC



Total Return % as of 09 Feb 2026. Last Close as of 09 Feb 2026. Fair Value as of 21 Nov 2025 16:08, UTC.

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Morningstar Valuation Model Summary

Financials as of 10 Feb 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	2,128	2,684	3,427	4,291	5,270	6,371	7,605	8,985
Operating Income (USD Mil)	-33	54	-44	189	431	713	1,034	1,395
EBITDA (USD Mil)	11	109	11	262	520	808	1,148	1,530
Adjusted EBITDA (USD Mil)	11	109	11	262	520	808	1,148	1,530
Net Income (USD Mil)	49	184	108	266	453	670	924	1,209
Adjusted Net Income (USD Mil)	464	654	747	907	1,274	1,499	1,760	2,053
Free Cash Flow To The Firm (USD Mil)	85	161	28	339	553	788	1,071	1,393
Weighted Average Diluted Shares Outstanding (Mil)	350	359	363	363	363	363	363	363
Earnings Per Share (Diluted) (USD)	0.14	0.51	0.30	0.73	1.25	1.84	2.54	3.33
Adjusted Earnings Per Share (Diluted) (USD)	1.32	1.82	2.05	2.50	3.51	4.12	4.84	5.65
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 10 Feb 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	-0.3	-1.6	2.0	-1.3	4.4	8.2	11.2	13.6	15.5	10.6
EBITDA Margin %	—	0.5	4.1	0.3	6.1	9.9	12.7	15.1	17.0	—
Adjusted EBITDA Margin %	—	0.5	4.1	0.3	6.1	9.9	12.7	15.1	17.0	12.2
Net Margin %	4.1	2.3	6.9	3.1	6.2	8.6	10.5	12.1	13.5	10.2
Adjusted Net Margin %	22.7	21.8	24.4	21.8	21.1	24.2	23.5	23.2	22.9	23.0
Free Cash Flow To The Firm Margin %	3.6	4.0	6.0	0.8	7.9	10.5	12.4	14.1	15.5	12.1

Growth & Ratios as of 10 Feb 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	27.0	27.1	26.1	27.7	25.2	22.8	20.9	19.4	18.1	21.3
Operating Income Growth %	-8.9	-43.0	-262.2	-181.7	-525.5	128.0	65.5	45.1	34.9	—
EBITDA Growth %	219.2	-145.7	892.8	-89.6	2199.4	98.7	55.4	42.1	33.3	485.8
Adjusted EBITDA Growth %	-177.9	-145.7	892.8	-89.6	2199.4	98.7	55.4	42.1	33.3	166.5
Earnings Per Share Growth %	—	-187.2	269.5	-42.1	147.0	70.1	47.9	37.9	30.9	62.2
Adjusted Earnings Per Share Growth %	—	51.0	37.6	12.7	21.5	40.5	17.6	17.5	16.6	62.2

Valuation as of 10 Feb 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	92.0	78.5	66.3	45.6	32.5	27.7	23.6	20.2
Price/Sales	11.0	14.9	14.3	9.3	7.6	6.3	5.3	4.4
Price/Book	21.0	18.9	13.2	10.4	9.3	8.1	6.9	5.7
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	2,037.4	351.8	4,099.8	141.8	71.4	45.9	32.3	24.3
EV/EBIT	-669.8	707.9	-1,051.5	196.6	86.2	52.1	35.9	26.6
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 10 Feb 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	1.2	3.2	1.6	3.6	5.4	6.9	8.2	9.1
ROE %	2.4	6.8	2.9	6.7	10.2	13.1	15.3	16.7
ROIC %	27.1	24.1	20.8	20.7	21.1	21.6	22.0	22.5

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Datadog Inc Class A DDOG ★★★★ 10 Feb 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
114.01 USD 9 Feb 2026	166.00 USD 10 Feb 2026 21:18, UTC	0.69	45.47 USD Bil 10 Feb 2026	Wide	Mid Growth	High	Standard	7 Jan 2026 06:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	2.2	3.7	—	1.5	1.4	1.3	1.2	1.1
Assets/Equity	1.9	2.1	1.8	1.8	1.9	1.9	1.9	1.8
Net Debt/EBITDA	-152.8	-21.5	—	-15.1	-8.7	-6.6	-5.6	-5.1
Total Debt/EBITDA	82.0	16.9	—	3.8	1.9	1.2	0.9	0.6
EBITDA/ Net Interest Expense	-0.1	-0.7	-0.1	-1.9	-3.8	-6.0	-8.5	-11.3

Forecast Revisions as of 10 Feb 2026	2026		2027		2028	
Prior data as of 6 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	166.00	185.54	—	—	—	—
Revenue (USD Mil)	4,291	3,436	5,270	4,302	6,371	5,289
Operating Income (USD Mil)	189	17	431	249	713	531
EBITDA (USD Mil)	262	76	520	323	808	621
Net Income (USD Mil)	907	899	1,274	1,128	1,499	1,354
Earnings Per Share (Diluted) (USD)	0.73	0.46	1.25	0.88	1.84	1.48
Adjusted Earnings Per Share (Diluted) (USD)	2.50	2.51	3.51	3.15	4.12	3.77
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 10 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	8.0
Weighted Average Cost of Capital %	8.6
Long-Run Tax Rate %	18.0
Stage II EBI Growth Rate %	13.0
Stage II Investment Rate %	10.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 10 Feb 2026

	USD Mil
Present Value Stage I	9,887
Present Value Stage II	17,014
Present Value Stage III	29,354
Total Firm Value	**56,254**
Cash and Equivalents	4,475
Debt	983
Other Adjustments	0
Equity Value	**59,746**
Projected Diluted Shares	363
Fair Value per Share (USD)	**166.00**

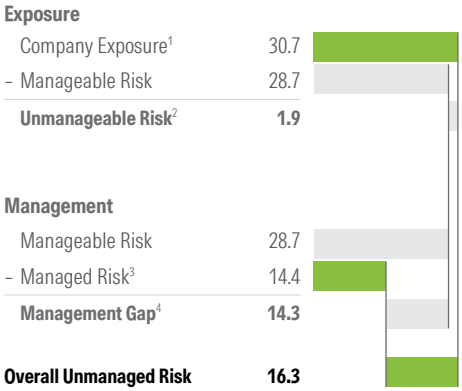
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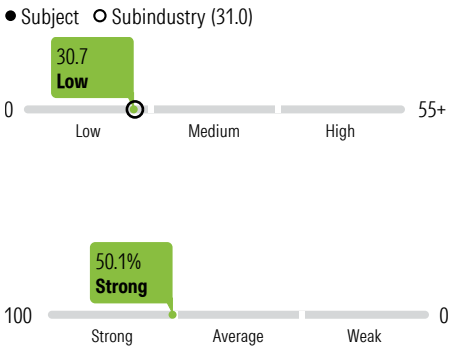
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Datadog Inc Class A DDOG ★★★★ 10 Feb 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
114.01 USD 9 Feb 2026	166.00 USD 10 Feb 2026 21:18, UTC	0.69	45.47 USD Bil 10 Feb 2026	Wide	Mid Growth	High	Standard	 7 Jan 2026 06:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 50.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Datadog Inc	30.7 | Low	0	55+	50.1 | Strong	100	0	16.3 | Low	0	40+
Cisco Systems Inc	34.1 | Low	0	55+	75.5 | Strong	100	0	10.2 | Low	0	40+
Gen Digital Inc	34.8 | Low	0	55+	64.1 | Strong	100	0	14.1 | Low	0	40+
Elastic NV	32.0 | Low	0	55+	59.3 | Strong	100	0	14.2 | Low	0	40+
Dynatrace Inc	28.6 | Low	0	55+	61.7 | Strong	100	0	12.1 | Low	0	40+

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Appendix

Historical Morningstar Rating

Datadog Inc Class A DDOG 9 Feb 2026 23:04, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Dynatrace Inc Ordinary Shares DT 9 Feb 2026 23:06, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★	—	★★★	★★★	★★★	★★★	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Cisco Systems Inc CSCO 9 Feb 2026 22:37, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Elastic NV ESTC 9 Feb 2026 23:01, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★★	★★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★★	★★★★	★★★★	★★★	—	★★★★	★★★★	★★★★	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

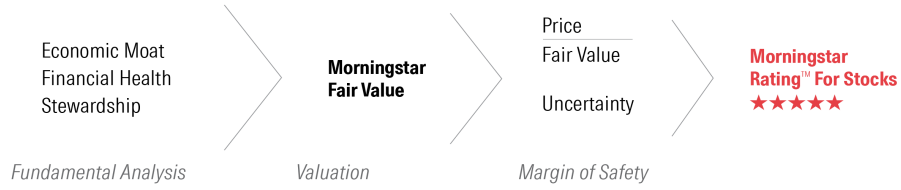
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

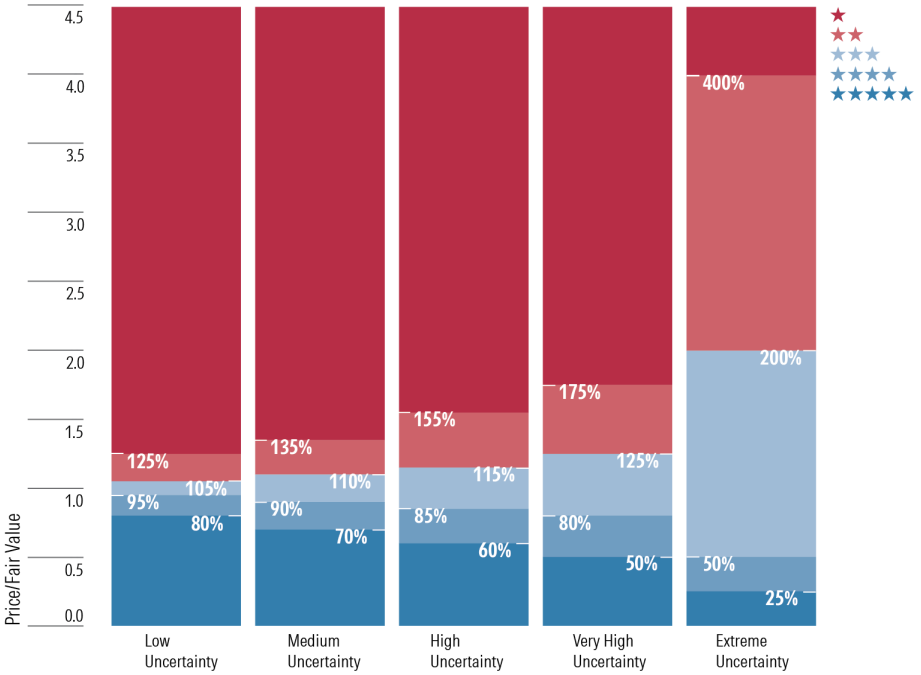
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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